

JPM CHINA SUMMIT: Day 2 Wrap - ESS & NEV

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** Sales Commentary only

Day 2 investor feedback continues to show a cautious but selective stance on China, given weak domestic demand and the property overhang, which leads to muted market beta. However, conviction in AI/tech and supply-chain leaders remains strong despite growing concerns about crowding and valuations. Within industrials, sentiment is relatively constructive, with a preference for globally competitive, export-oriented, and scale-driven players—such as machinery, robotics, and batteries—seen as key beneficiaries of China’s manufacturing edge. In autos, views are more mixed due to weak domestic demand, while strong overseas demand and a slightly easing competition landscape in the domestic market (with Leapmotor noting eased domestic competition) are providing some support. For ESS/batteries, long-term structural demand is well recognized (driven by AI power and energy transition), but investors are increasingly wary of mid-cycle risks due to aggressive capacity expansion over the next 12 months and margin pressure concerns from higher lithium pricing—reinforcing a focus on dominant players like CATL.

Flagging Rebecca Wen’s downgrade on Yunnan Energy (002812 CH) to Neutral due to a series of capacity announcements across the battery separator industry that may cap the potential for further price hike. ([Rebecca Wen](#))

Stay Tuned for our 3rd day for BYD, Weichai Power & Robotics/ESS Panel Sessions! Also, happy to discuss details of my meetings when I am back in HK next week!

ESS - Robust Demand Amid Cost Inflation: Focusing on Overseas & New Products

- While investors acknowledge robust demand in ESS with global ESS shipments recording +109% YoY in 4M26, investors focus shifts to lithium price tolerance and demand implications. ([Rebecca Wen’s ESS Industry update note](#)). **Gotion High-Tech (002074 CH) highlighted** a structurally robust China ESS demand backdrop but with increasing discipline around project economics, set against an intensely competitive domestic market and ongoing cost volatility driven by lithium prices. Management emphasized overseas expansion as a key margin lever and reiterated a longer-term technology roadmap anchored by sodium-ion batteries for ESS and solid-state batteries for premium applications. *Post the meeting, investor feedback was mixed with concerns focusing on: 1/ the risk that ESS industry demand may slow, with Gotion projecting > 60% YoY industry demand growth (vs 4M26 +109% YoY) amid aggressive capacity addition by key industry players; and 2/ cost inflation impact on margin, with raw material now accounting for ~50% of battery cost and potential for negative demand impact if domestic ESS proves most sensitive. Prefers CATL with dominance and clear cost leadership with scale.*

NEV - Shipment Outlook, Model Cycle, Overseas Strategy in Focus

- Attended meetings with Geely (175 HK) and Leapmotor (9863 HK) today, investors focused on the feasibility of shipment guidance, the impact of cost inflation—particularly from batteries and raw materials—on profitability, and the companies’ mitigation strategies.
- The most interesting takeaways from the **Geely** meeting were the potential upside risk to its overseas shipment guidance supported by policy tailwinds in ASEAN, rising NEV adoption in EU, and an improving product mix (domestic/overseas). Geely commented that its 2026 export target of ~640k units looks achievable, with scope to exceed ~750k as high oil prices, policy tailwinds (notably Malaysia), and premium penetration drive demand across Europe, Southeast Asia, and emerging markets, with Europe’s export momentum already trending above its target. Upside is anchored in a product-led strategy led by Zeekr, where flagship models such as the 9S deliver strong margins and brand validation overseas, while the phased rollout of 9S (from Q3) and 8S (2H26) broadens the addressable market without diluting positioning. Crucially, management is

focused on disciplined model-cycle management—using complementary models, derivatives, and staggered launches—to keep products fresh, sustain buyer interest, stabilize pricing, and protect profitability to offset the impact of cost inflation.

- **Leapmotor** management reiterated confidence in a Q2 recovery, but investor discussion centered on the feasibility of volume guidance and margin improvement amid ongoing cost pressures. Key questions focused on whether the Q2 volume target of 240–250k units is achievable given recent momentum and the ME-driven situation impacting export timelines, which has resulted in a two-week longer delivery period due to taking a longer route. Additional concerns included the impact of battery and raw material costs—particularly lithium—on margins, with management highlighting cost pass-through, supplier negotiations, and simplification of battery packs as partial offsets. Domestic competition was seen as stabilizing versus prior years, with loss-making models discontinued post Govt's anti-involution guidelines, while overseas strategy remains a core lever for mix and margin improvement, supported by Stellantis' distribution network and partnership, planned CKD production in Europe at Stellantis' factory, and a growing contribution from higher-margin models such as D19.
- **Investors' feedback** on Chinese OEMs was **mixed due to weak domestic demand** (with high-frequency data tracking below the market's 2Q25 expectation of industry-wide 25–30% QoQ recovery), **while strong overseas demand and a slightly easing competition landscape in the domestic market** (with Leapmotor noting eased domestic competition) **are providing some support**. *Feedback suggested investors are most constructive on Geely for its right product cycle, strong shipments in both domestic and overseas markets, and mix improvement amid cheap valuation. Debate on BYD continues, with long-term investors shifting focus to overseas market-driven margin support, as BYD has recently de-emphasized the domestic market; LT investors' key question is whether BYD could be the next Toyota, driving most profit from the overseas market, with clear market share leadership in key demand markets (Europe for BYD's case).*
- **JPM Research:** [China Auto's OEM In Europe - Structural share gains, broadening mix, and the localization race - Nick Lai](#)

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